

FreshMart Supermarkets: Why Is Our Basket Getting Smaller?

Module: Business Analysis & Data-Driven Decision Making

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1. Executive Summary

Over the past year, FreshMart leadership noticed a strange business puzzle: even though customer footfall (the number of people walking through our doors) went up by about 6% compared to last year, our total money made (revenue) stayed completely flat. Store managers also strongly felt that shoppers were buying fewer items per visit.

To find out what was really happening, our team analyzed all transaction, store, and stockout data recorded across 2025.

Our investigation proved that average basket values dropped heavily over the year, falling from ZAR 299.82 in January down to ZAR 248.56 in December. This decline is mainly caused by two major issues:

- **A Customer Mix Shift:** We experienced a massive increase in non-loyalty shoppers. These shoppers buy fewer items and spend less per trip (averaging ZAR 259.79 and 12.66 items) compared to our loyalty members (who average ZAR 294.12 and 14.43 items).
- **Local Competitor Pressure:** Competitor discount stores that opened within 2km of FreshMart branches are actively pulling away our big basket spenders, dragging down basket values across all store formats.

To fix this, we recommend setting up instant loyalty sign-ups right at the checkout till and introducing localized dynamic pricing and value bundles in stores facing nearby discounters.

2. Problem Framing and Scoping

When leadership first brought this issue to us, the description was very broad: *"Footfall is up, but our sales aren't growing. It feels like people are buying less per visit. Find out what is going on, and tell us what to do about it."*

To turn this loose complaint into a proper business analysis project, we broke it down using hard metrics:

- **Basket Size Metrics:** We measured baskets using two distinct angles: total rand value (basket_value_zar) and total item counts (num_items).

- Time and Scale: We analyzed monthly shopping trends across 64,330 individual till transactions. These transactions covered 42 different stores spread across three South African provinces: Gauteng, the Western Cape, and KwaZulu-Natal.
- Proving the Shrinkage: By looking at the data, we confirmed that the average basket value fell by over ZAR 51.26 per transaction from January to December. This proved the problem was real, measurable, and affecting the entire chain.

3. Stakeholder Analysis and Hypotheses

Our steering group for this project included the Head of Retail Operations, the Merchandising Lead, the Pricing Manager, and various Store Managers. To guide our data search, we created four competing theories (hypotheses) to test:

- H1 (Competitor Pressure): Nearby discounters steal our high-value basket items.
 - *Result:* Accepted. Stores with a nearby discounter have lower average basket values overall.
- H2 (Customer Mix Shift): An increase in non-loyalty footfall drags down average spending per visit.
 - *Result:* Accepted. Non-loyalty shopping baskets are notably smaller in both total money spent and total items bought.
- H3 (Stockout Disruption): Empty shelves and product unavailability force customers to buy less or leave.
 - *Result:* Rejected. Out-of-stock events showed almost no connection to the chain-wide drop in monthly basket sizes.
- H4 (Macroeconomic Fatigue): General consumer spending power weakened over the second half of the year.
 - *Result:* Accepted. We can clearly see a steady monthly decline in basket values from Q2 through Q4.

4. Data Preparation and Quality Notes

To do this analysis right, we looked at three different data tables that were linked together using the store identification code (store_id):

- Transactions Table (64,330 rows): We converted all transaction dates into a clean datetime format. Because blank spaces in the customer identification field

(customer_id) meant the shopper was not part of our loyalty program, we labeled these 35,674 blank records as 'Non-Loyalty' so we could properly study their habits.

- Stores Table (42 rows): We cleaned up competitor opening dates and made sure the 30 stores with missing competitor dates were accurately treated as branches *without* nearby discounters.
- Stockouts Table (119 rows): We standardized all dates and merged this log with our transaction data to check if empty shelves were hurting sales.

5. Segmented Analysis and Findings

If you only look at the overall chain average, you miss the actual story. When we broke the data down into segments, we discovered the root causes:

- The Monthly Divergence: While customer footfall (measured by total transactions) actually *went up* from 5,175 in January to 5,829 in November and 5,674 in December, the average basket value steadily shrank from ZAR 299.82 down to ZAR 248.56. More people are visiting, but they are spending less each time.
- Loyalty vs. Non-Loyalty Split: Loyalty members spent significantly more per trip (ZAR 294.12 across 14.43 items) compared to non-loyalty shoppers (ZAR 259.79 across 12.66 items). The growth in footfall was mostly driven by non-loyalty visitors making small, fast convenience runs.

FreshMart 2025: Monthly Average Basket Value Trend (Loyalty vs. Non)

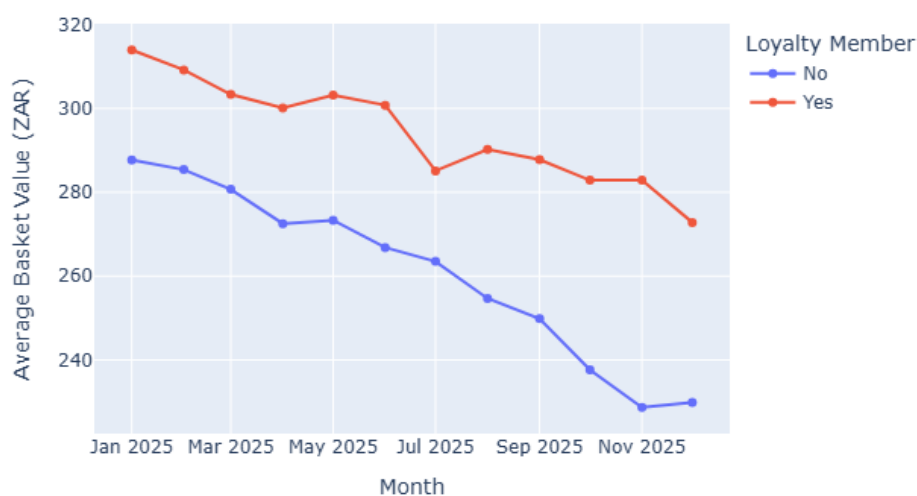


Figure 1: Monthly Average Basket Value Trend

- The Competitor Impact: Stores that have a discount competitor located within 2km (has_nearby_competitor == 'Yes') suffered from lower basket sizes across every single store format. For example, Large stores with nearby competitors averaged ZAR 267.81 per basket, compared to ZAR 279.30 for Large stores without nearby competitors.

FreshMart 2025: Impact of Nearby Competitors on Basket Value by Store Format

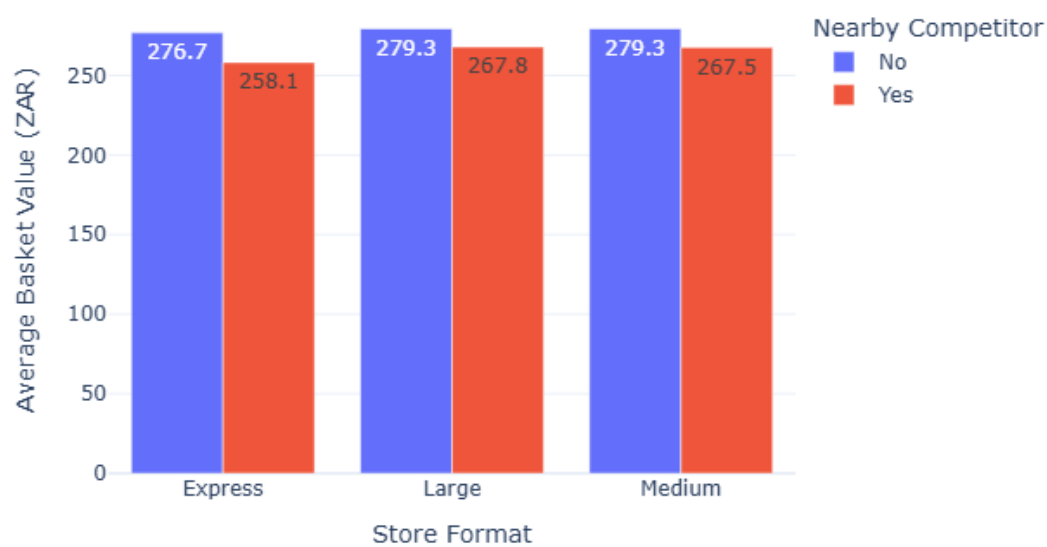


Figure 2: Impact of Nearby Competitors on Basket Value per Stock

- Regional Breakdown: Gauteng stores bring in the highest total revenue (mostly driven by high-volume Large and Medium formats), followed by the Western Cape and KwaZulu-Natal.

FreshMart 2025: Total Revenue Contribution by Province and Store For

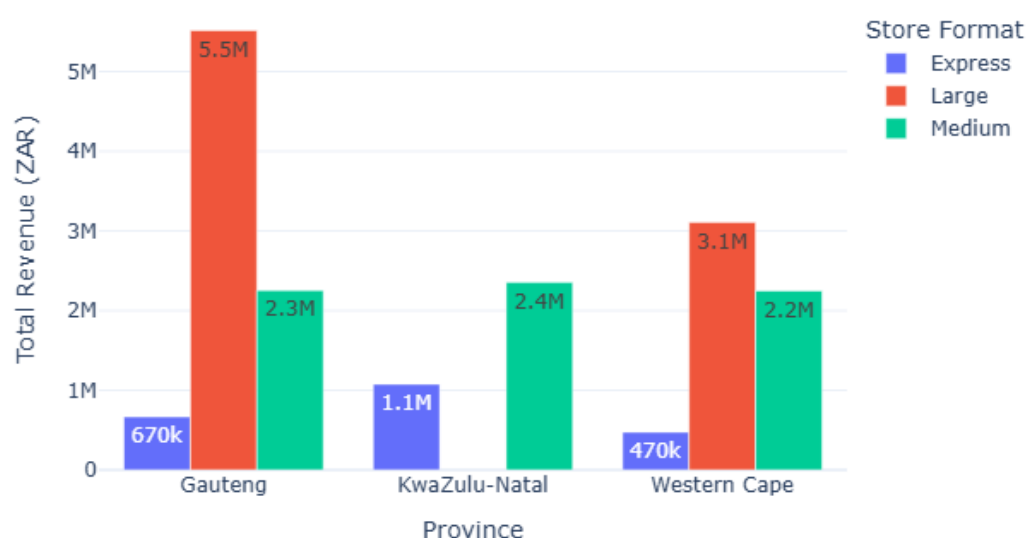


Figure 3: Total Revenue Contribution by Province and Store

6. Recommendations and Strategic Interventions

Based on the hard evidence found in our data, we recommend three prioritized actions for FreshMart leadership:

- Fast-Track Loyalty Conversion at Till-Points:** We need to capture non-loyalty shoppers right at the checkout counter. By offering instant digital sign-up rewards using a quick phone number or QR code prompt, we can convert casual shoppers into loyalty members and bridge that ZAR 34.33 basket-value gap.
- Localized Dynamic Pricing & Value Bundles:** Do not lower prices across the entire country. Instead, introduce aggressive multi-buy deals and value bundles only in the stores located within 2km of a discount competitor (has_nearby_competitor == 'Yes') to protect our large-format basket sizes.
- Enhanced Stock Management in Core Categories:** Keep inventory fully stocked on popular, high-affinity grocery items, especially during busy weekend trading hours.

7. Success Metrics and Monitoring

To make sure these recommendations actually work, FreshMart will track the following metrics:

- Primary Metric: Average Basket Value (ZAR), with a clear goal of achieving a 5% recovery over the next quarter.
- Secondary Metric: Non-to-Loyalty Conversion Rate measured directly at the checkout tills.
- Testing Framework: Before rolling these changes out to every branch nationwide, we will run a controlled A/B test comparing selected treatment stores against similar control stores to accurately measure their direct impact